

The Claremont City Council held a meeting on Wednesday, January 24, 2018, in the Council Chambers of City Hall.

The meeting was called to order by Mayor Lovett at 6:30 p.m.

Members of the Council present were:

At-Large Councilor Claire Lessard
Ward I Councilor Andrew O’Hearne
Ward III Councilor Jonathan Stone
Assistant Mayor Allen Damren
Mayor Charlene Lovett
At-Large Councilor Jeremy Zullo
At-Large Councilor Abigail Kier
At-Large Councilor Nicholas Koloski
Ward II Councilor Scott Pope

Also present:

Ryan McNutt, City Manager

AGENDA CHANGES

Mayor Lovett said there would be a discussion of Councilor committee seats under New Business.

MAYOR’S NOTES

Governor’s Citation for Fire Chief Rick Bergeron

Mr. McNutt presented the Governor’s Citation to retired Fire Chief Rick Bergeron.

Mr. Bergeron said retirement is bittersweet as he loved his job, but he does think the time was right. He thanked everyone involved in the getting the Governor’s Citation. Mayor Lovett acknowledged the Fire Department was out in full force which gives testimony to all the good work Mr. Bergeron has done.

Mayor Lovett said there will be a joint meeting of the Council and School Board on January 30, 6:30 p.m., at the Sugar River Valley Regional Technical Center.

Mayor Lovett said Governor Sununu would be in Claremont on February 8th for a ceremonial signing of SB247 lead bill; location to be determined.

Mayor Lovett said the School Deliberative Session would be on February 7th.

Mayor Lovett said the Council tour of City facilities would be on February 7, 2-4:30 p.m. It will start at the CSB Community Center.

CITIZEN'S FORUM

No one spoke.

NEW BUSINESS

NH Retirement System Decennial Commission Recommendations Discussion

Barbara Reid, NHMA Government Finance Advisor, showed a PowerPoint presentation on the NH Retirement System.

- NHRS Actives vs Retirees 2007-2017
 - In 2007 there were 2.5 active employees for every retiree. In 2017 it was 1 & 1/3 per retiree.
- NHRS Employer Contributions 2001-2017, Combined Pension & Medical Subsidy
 - \$75 million in 2001
 - 2017, as of June 30, \$425 million for about the same number of employees
 - State is 25% & local is 75%
- Employer and Employee NHRS Contributions 2001-2017
 - 2012 employee contribution rate increased from 5% to 7%
 - Employee rate set by statute
 - Employer rate is based on formula (have to make up difference)
- Ten-Year History of Time-Weighted Total NHRS Fund Annual Returns
 - Shows investment earnings
 - Contributions fund about 1/3. The rest comes from the investment earnings.
 - In 2008/9 pension system lost about 18% of its portfolio
 - Assumed rate of return is 7.25% (conservative compared to other public pension systems)
- NHRS Unfunded Liabilities 2007-2017
 - System has 62% of the assets they need to pay for all those liabilities (shortfall)
 - Goal is to be 100% funded
 - There is a plan to pay off the unfunded liability. Amortize the cost over 30 years. We are 8 years in, so we have 22 years until it is paid off.
- Group I Employer Rates – Employees and Teachers
- Group II employer Rates – Police and Fire
 - Police & Fire pay more because they can retire earlier & collect pensions longer
- NHRS Local Employer Rates (Net of State Contributions) 2002-2019
 - State Share of Employer Contributions
 - 2011 was when the state eliminated its contribution
 - 2013/14 was when the state lowered the assumed rate of return

Mr. McNutt asked about putting the funds into a Vanguard account. Ms. Reid said 10 years ago it was the board of trustees that was the investment committee. The first Decennial Commission (2007) recommended to have an independent investment committee. This retirement system is now at 90% in terms of returns. The Legislative strategy was to create the investment committee and the current Decennial Commission did not recommend to change that.

Mr. Pope asked if all returns are going back to the pension fund. Ms. Reid said yes. It used to be that anything .5% and over what was assumed would go into a special account to give extra benefits. There is a \$5 billion deficit. If there were no gain sharing, the hole would have \$1 billion less.

Mr. Zullo asked why the unfunded liability is not going down. Ms. Reid said we are close to the point where it should be going down. There are fewer active employees, but also, not as many are earning future benefits.

Ms. Reid continued with the PowerPoint presentation.

- Decennial Commission Recommendations
 - State subsidy of unspecified amount
 - Retirees returning to work (doesn't have impact on finances)
 - Limit 1,040 hours/year (average 20/week)
 - 60-day grace period
 - Annual employer reporting (instead of monthly reporting)
 - Penalty (if retiree works more hours)
 - Additional benefits
 - \$500 temporary supplemental allowance
 - Change age 65 reduction to age 67 (group I)
 - Unfunded Liability
 - Existing amortization through 2039
 - Layered amortization for future increases/decreases
 - Level dollar amortization
 - Current Legislation – HB 413
 - Restores state contribution of 15% for teachers, police and fire – saves employers approximately \$43 million per year
 - 2017 passed House 267-83
 - 2018 failed in House 172-166
 - Next House Session:
 - Motion to Reconsider – Vote Yes
 - Motion of Inexpedient to Legislate – Vote No
 - Motion on amendment (date change) – Vote Yes
 - Motion of Ought to Pass as amended – Vote yes

Mr. Koloski asked about the vote of the Claremont Delegation. Ms. Reid said Representative O'Connor voted to kill the bill and the other three Representatives voted not to kill it.

Mr. Pope asked what the impact of 15% (for police and fire) would be to our budget. Ms. Walter will look it up.

Ms. Reid continued the PowerPoint presentation.

- Current Legislation – HB 561
 - o Limits 1,300 hours/year (avg 25 hours/week) (Claremont has 4 retired employees currently working)
 - o 1,300-1,600 hours/year (avg 30 ½ hours/week) requires payment of surcharge: 3% on retiree and 5% on employer (not a contribution to retirement system, this goes toward the unfunded liability)
 - o Grandfathers existing retirees in current part-time positions
 - o Stiff penalty if >1,600 hours
 - o 28-day grace period for new retirees
 - o Annual employer reporting
 - o Passed Senate 17-7, referred to Senate Finance Committee

Ms. Reid said the average pension is about \$30,000, not the big ones that are in the headlines.

- Current Legislation – Additional Benefits
 - o HB 1576 – House Finance
 - 1 ½% COLA for retirees retired +5 years = \$51 million
 - \$500 TSA for retirees retired +5 years with pension <\$30,000 = \$10 million
 - o HB 1757 – House Finance
 - Changes Group I reduction from age 65 to SS retirement age = \$4.3 million
- Current Legislation – Unfunded Liability
 - o HB 1805 Committee to study level dollar amortization (i.e. pay off liability sooner)
 - o HB 1823 Layered amortization – future gains and losses amortized over separate 20-year period

Resolution 2018-21 Accept and Expend CDFA Clean Energy Loan – Public Hearing

WHEREAS the City of Claremont, New Hampshire has applied for and been awarded a revolving loan from the Community Development Finance Authority (CDFA) Clean Energy Fund's Municipal Energy Reduction Fund in the amount of \$51,730.00 for the installation of LED lighting and related monitoring equipment at the Claremont Savings Bank Community Center; and

WHEREAS the City would like to accept and expend the loan funds to be used for their intended purpose;

NOW THEREFORE BE IT RESOLVED that the City Council accepts the loan funds in the amount of \$51,730.00 payable over 39 months at 2.5% interest for the purpose of installing LED lighting and related monitoring equipment; and

BE IT FURTHER RESOLVED to raise and appropriate the sum of \$70,000.00 for the CSB Community Center LED Lighting Updates with \$51,730 to come from the CDFA Loan and the remaining \$18,270 to come from off-setting grant revenue from Eversource for the purpose of installing LED lighting and related monitoring equipment; and

BE IT FURTHER RESOLVED that the City Manager or his designees are hereby authorized to undertake all actions and execute all documents as may be required to accept the CDFA loan and implement this resolution. *(2/3 Vote Required)*

A motion was made by Mr. Damren and seconded by Mr. Pope to adopt Resolution 2018-21 Accept and Expend CDFA Clean Energy Loan.

Mr. Damren read the resolution into the record.

Mark Brislin, Parks and Recreation Director, said this retrofit will reduce lighting costs \$14,000 a year.

Mayor Lovett asked about the words LED street lights in the draft resolution. Mary Walter, Finance Director, said that was a typo and it should be LED lighting.

Mr. McNutt pointed out that replacing street lights with LEDs resulted in more savings than expected.

Mayor Lovett opened the public hearing. No one spoke. She closed it.

Roll call:

Lessard - yes

O'Hearne - yes

Stone - yes

Damren - yes

Zullo - yes

Kier - yes

Koloski - yes

Pope - yes

Lovett - yes

Motion carried 9-0.

Motion to Approve Multi-year Lease Agreement for Sewer Enterprise Fund

A motion was made by Ms. Kier and seconded by Mr. Damren to authorize the City Manager to enter into a multi-year lease agreement in an amount up to \$165,000 for the leasing of Equipment for the Sewer Enterprise Fund, at a rate of 3.14% for 7 years, said

expense for the first year of the lease term having been raised and appropriated in the 2018 budget. The proposed lease agreement shall contain a termination clause in the event of non-appropriation of sufficient funds for any subsequent year of the lease.

Mr. Koloski asked what equipment is being replaced. Ms. Walter said the sewer jetter and sewer backhoe are being replaced by a sewer jetter and sewer excavator. This is a lease purchase. The old equipment will be used as trade-ins, so we will have to finance less.

Ms. Walter said the interest rates are creeping up. She said we need to get involved with the CIP (Capital Improvements Plan) process with capital reserves. Higher interest rates will cost us more to borrow.

Voice vote: motion carried 9-0.

As a follow-up to Mr. Pope's earlier question about NHRS Group II, Ms. Walter said if the state pays 15% for police & fire, that would be \$124,000 savings for next year.

Ms. Walter said the audit report has been given to the Council. The auditors will be here February 14. The audit will be posted on the website tomorrow.

Councilor Board and Committee Seats

Mayor Lovett said she thought it was optimal to have every Councilor committed to at least one board. She asked Councilors to name the boards they were interested in. She said Councilors should apply through deForest Bearse, Resource Coordinator at the Planning and Development Department.

Ms. Lessard – Amtrak Ad Hoc Committee.

Mr. Koloski will relinquish his seat on the Conservation Commission.

Mr. Zullo – Conservation Commission.

Mr. Koloski – Claremont Planning Board Alternate.

Mr. Damren – Claremont Community Television Board of Directors; Claremont Planning Board; and Ad Hoc Finance Committee.

Mayor Lovett – Claremont Planning Board; Ad Hoc Amtrak Platform Committee; and Ad Hoc Finance Committee.

Mr. Stone – Policy Committee.

Mr. Pope – Historic District Commission; and Policy Committee.

Ms. Kier will vacate the Historic District Commission seat.

Ms. Kier – Zoning Board of Adjustment; and Policy Committee.

FUTURE AGENDA ITEMS AND DIRECTIVES

Mayor Lovett said there will be an audit report presentation on February 14. She said that she, as the chair of the River Valley Community College (RVCC) Advisory Board, reached out to Lucille Jordan, who is head of the Nashua Community College and is helping out at Claremont's RVCC, and asked Ms. Jordan to give a presentation on February 28 to the Council regarding RVCC's transition to a new president.

Mr. Koloski said at some point he would like Councilors to see the JSL building to know why it was shut down and why it is difficult to sell, in case this Council needs to make a decision about what to do with it. Mr. McNutt said he can schedule that.

Regarding the February 7th Council tour, Councilors agreed to gather behind the Sugar River Valley Regional Technical Center to get on the bus.

Mr. Koloski would also like a tour of Arrowhead and he would like to know what issues they may be facing.

Mr. McNutt said regarding receivership that Representative Gagnon submitted the bill. February 6 is the first subcommittee hearing and he will attend.

Mr. Pope asked for a legislative update. Mayor Lovett will follow-up.

Mr. Koloski asked for a timeline to make Council chambers ADA (Americans with Disabilities Act) compliant. He would like that added to the CIP. Mayor Lovett said that is an item on the CIP.

Mr. McNutt said there is a plan. The CIP contains about \$45 million in under/not funded items. There are many facility maintenance items. City Hall's ADA accessibility is on the CIP. Also, there is a problem with the pipes in Opera House Square getting clogged which creates a sewer smell in the area. Consultants will look at the situation.

He is waiting for the LCHIP (Land and Community Heritage Investment Program) report before going forward on Council Chambers ADA compliance. Mayor Lovett asked to send that report to the Council when it is available.

CONSULTATION WITH LEGAL COUNSEL

None

Mr. McNutt said a representative from Gardner Fulton & Waugh will come to a future Council meeting for legal counsel to discuss conflict of interest, etc. with the Council.

Mayor Lovett said that law firm does provide free training focusing on recent changes in laws that affect policy. The other training would focus on conflict of interest and other items of interest to Councilors.

NON-PUBLIC SESSION PURSUANT TO RSA 91-A:3,II(a) – PERSONNEL REVIEW

A motion was made by Mr. Zullo and seconded by Mr. Damren to go into the Non-Public session pursuant to RSA 91-A:3,II(a) – Personnel Review and to invite Mr. McNutt into the session.

Roll call:

Lessard - yes

O’Hearne - yes

Stone - yes

Damren - yes

Zullo - yes

Kier - yes

Koloski - yes

Pope - yes

Lovett - yes

Motion carried 9-0.

Councilors discussed the City Manager’s review and the process. Councilors discussed creation of an executive summary.

At 9:26 p.m., a motion was made by Ms. Kier and seconded by Mr. Pope to leave the non-public session and return to public session.

Roll call:

Lessard - yes

O’Hearne - yes

Stone - yes

Damren - yes

Zullo - yes

Kier - yes

Koloski - yes

Pope - yes

Lovett - yes

Motion carried 9-0.

A motion was made by Mayor Lovett and seconded by Mr. Damren regarding section 5, Performance Evaluations and Salary Reviews, of the City Manager’s contract that this process shall be repeated annually to align with Council terms.

Roll call:

Lessard - yes

O'Hearne - yes
Stone - yes
Damren - yes
Zullo - yes
Kier - yes
Koloski - yes
Pope - yes
Lovett - yes
Motion carried 9-0.

A motion was made by Mayor Lovett and seconded by Mr. Damren regarding changes to section 6A, Vacation, of the City Manager's contract to replace the second word "accrued" with the words "carried over."

Roll call:
Lessard - yes
O'Hearne - yes
Stone - yes
Damren - yes
Zullo - yes
Kier - yes
Koloski - yes
Pope - yes
Lovett - yes
Motion carried 9-0.

Non-public minutes were recorded by Mr. Koloski.

ADJOURNMENT

At 9:28 p.m., a motion was made by Mr. O'Hearne and seconded by Mr. Stone to adjourn.

Voice vote: motion carried 9-0.

Respectfully Submitted,

Dorée M. Russell
Clerk to the Council